

Position Sizing & Capital Allocation Formula

Risk Per Trade Rule

Never risk more than **1% to 2%** of total portfolio account balance on any single crypto trade signal.

$$\text{Position Size} = \frac{\text{Account Capital} \times \text{Risk Percentage}}{\text{Entry Price} - \text{Stop Loss Price}}$$

Using disciplined position sizing guarantees long-term portfolio survival even during consecutive losing trades.